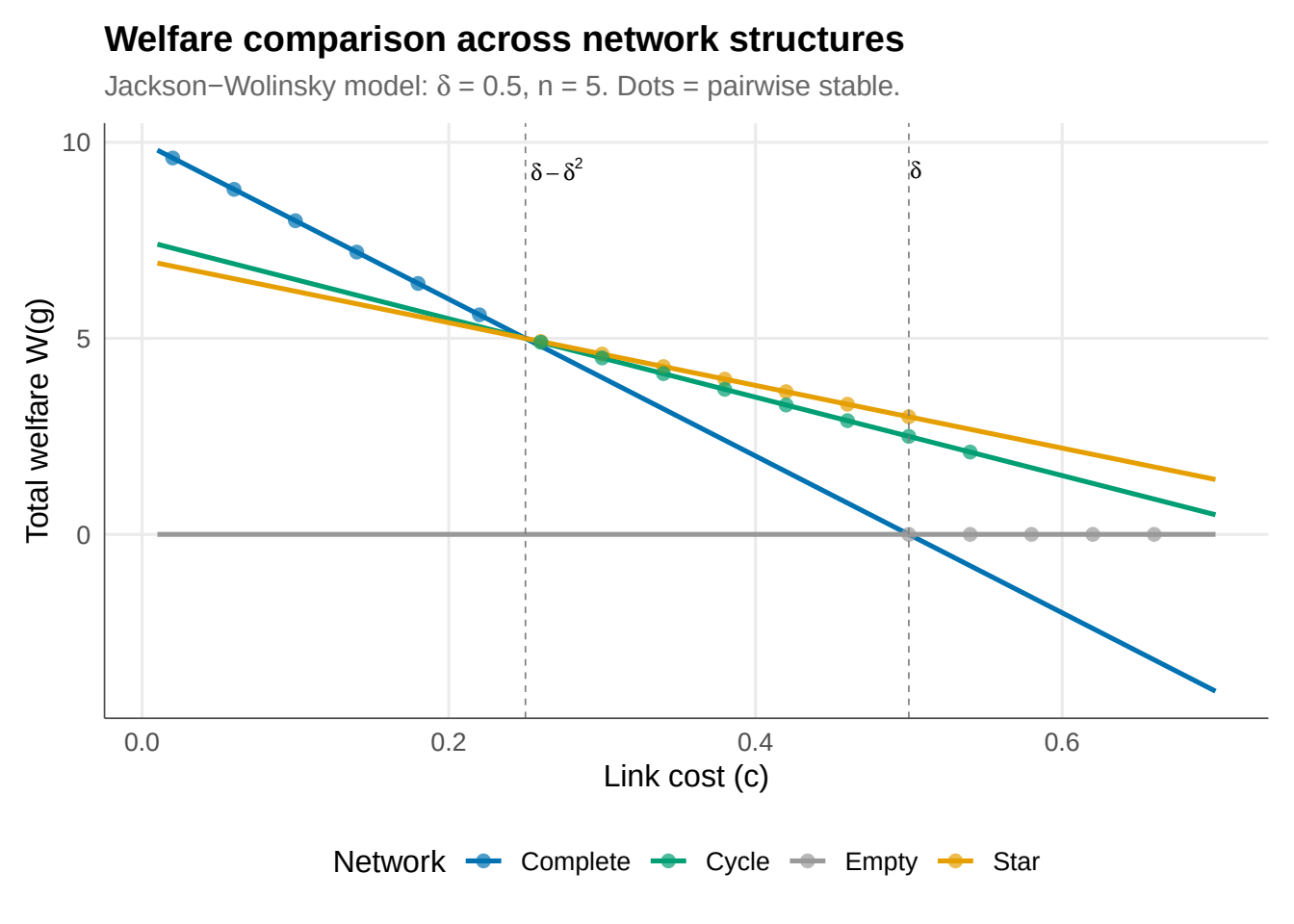
Welfare comparison across network structures
Jackson−Wolinsky model: δ = 0.5, n = 5. Dots = pairwise stable.
Total welfare W(g)
10
5
0
δ − δ²
δ
0.0
0.2
0.4
0.6
Link cost (c)
Network
Complete
Cycle
Empty
Star